

TABLE 6.11 Sector results 2004

	Currencies	Agriculture	Non-Agriculture	Equities	Rates	All sectors
Long	2.4	10.2	7.3	1.1	0.9	21.8
Short	0.2	2.3	-0.8	-4.7	-5.7	-8.7
Total	2.7	11.6	6.4	-2.5	-5.6	12.6

TABLE 6.12 Results 2004

	US\$	Percentage
Starting NAV	14,343,723	143.44
Trading result	1,810,357	12.60
Interest income	232,280	1.60
Management fee	238,525	1.70
Performance fee	270,617	1.90
Net result	1,533,495	10.70
Ending NAV	15,877,218	158.80

At the end of this year the gross trading gains were a little over 12% (Tables 6.11 and 6.12). Taken out of context, that sounds just fine. That's a good return on a trading portfolio, but given what a volatile and risky ride we had, it can hardly be called a success. Your investors will not tell you how happy they are to have 11% more money after paying fees. They would prefer to have the 30% more money that they saw in April.

As for our little trading business, we end up making a little money again of course. Around US\$240,000 in management fees and nearly US\$300,000 in performance fees. Compounding is a nice effect, not only for investors. We had lower profits than earlier years, but a larger asset base due to that early success, and the fees increase proportionally. Three years after we start out, the initial investor money has grown from US\$10 million to almost US\$16 million.

■ 2005

It's 2005 and the bear market of 2000 to 2003 is long forgotten. Happy days are back, Wall Street is booming and risk is definitely on again. Our trading business has made decent money over the past three years, even if we really had to work for it. So far, this probably feels very little like what you may